Accountancy — Class 12

Examination Paper

Total Marks: 60 Date: __________

All questions are compulsory.

Section A — Multiple Choice Questions

8 × 1 = 8 marks

Q1. According to Section 4 of the Indian Partnership Act 1932, a partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all. What is the primary basis of this definition?

(a) Joint ownership of assets
(b) Agreement to share profits
(c) Legal entity status
(d) Minimum two partners

Q2. X and Y are partners in a firm sharing profits in the ratio 3:2. If the net profit for the year is Rs.1,00,000, what is X's share of the profit?

(a) Rs.20,000
(b) Rs.25,000
(c) Rs.30,000
(d) Rs.35,000

Q3. If a partner's capital balance is Rs.5,00,000 and interest on capital is allowed at 10% p.a., the amount of interest on capital is:

(a) Rs.5,000
(b) Rs.10,000
(c) Rs.50,000
(d) Rs.1,00,000

Q4. In the absence of a specific agreement, the Indian Partnership Act 1932 prescribes that profits and losses are shared among partners in the ratio of:

(a) Capital contributed
(b) 1:1
(c) 2:1
(d) 3:2

Q5. Partners X and Y have capitals of Rs.1,00,000 and Rs.2,00,000 respectively. If interest on capital is allowed at 10% p.a., what is the total interest on capital?

(a) Rs.10,000
(b) Rs.15,000
(c) Rs.20,000
(d) Rs.30,000

Q6. A partnership firm has no separate legal entity apart from the partners constituting it. This feature is known as:

(a) Mutual Agency
(b) Joint and Several Liability
(c) Unlimited Liability
(d) No Separate Legal Entity

Q7. The name under which the partnership business is carried is called:

(a) Trade Name
(b) Firm's Name
(c) Business Name
(d) Legal Name

Q8. If a partner draws Rs.10,000 at the beginning of the year and interest on drawings is charged at 10% p.a., what is the interest on drawings for that year?

(a) Rs.1,000
(b) Rs.500
(c) Rs.1,500
(d) Rs.2,000

Section B — Very Short Answer

5 × 2 = 10 marks

Q9. Define Partners according to the Indian Partnership Act 1932.

Q10. What is the Firm's Name in a partnership?

Q11. Does a partnership firm have a separate legal entity?

Q12. Name the Act that applies when there is no specific agreement on profit distribution.

Q13. Calculate the interest on capital for a partner with capital of Rs.2,00,000 if rate is 10% p.a.

Section C — Short Answer

3 × 3 = 9 marks

Q14. Explain the nature of partnership as defined in Section 4 of the Indian Partnership Act 1932.

Q15. A and B are partners sharing profits in 3:2. A's capital is Rs.5,00,000 and B's is Rs.3,00,000. Calculate interest on capital at 10% p.a.

Q16. Differentiate between Partners and Firm.

Section D — Long Answer

2 × 5 = 10 marks

Q17. A, B, and C are partners sharing profits in 3:2:1. A's capital is Rs.5,00,000, B's is Rs.3,00,000, and C's is Rs.2,00,000. Interest on capital is allowed at 10% p.a. Prepare the Profit and Loss Appropriation Account.

Q18. Explain the nature of a Partnership Firm in detail, highlighting the legal status of the firm and the partners.